

EG US Daily: Trump's last-minute pause on escalation does not create an off-ramp with Iran

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US Daily

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- * Trump's last-minute pause on escalation does not create an off-ramp with Iran.
 - * Republicans likely to hold Senate despite improving outlook for Maine Democrats.
 - * Weakened Connected Vehicle Act will lay out baseline for future action.

Editorial note: EG's US daily will shift to a Tuesday and Thursday publication schedule for the month of August, beginning Monday 3 August.

Trump's last-minute pause on escalation does not create an off-ramp with Iran. President Trump canceled plans for a military escalation in Iran over the weekend, with media reports citing limited diplomatic progress and concerns over shrinking US weapons stockpiles as factors in the decision.

* The pause in action does not change the current dynamic in the conflict: the US currently lacks the leverage to force Iran into a deal that is politically palatable to Trump and durable enough to reassure the world that the Strait of Hormuz is open. We are, for now, holding to our current base case of 55% odds that the US escalates militarily by mid-August in a bid to alter this unsustainable balance, with 30% odds that the status quo holds, and 15% odds of de-escalation due to a deal.

* Shrinking US weapons stockpiles and the potential for energy price increases limit Trump's window for escalation, though neither appears to be a prohibitive factor in Trump's calculus.

* Israeli Prime Minister Benjamin Netanyahu's Washington visit this week is a key signpost for the US approach; he has been a key advocate for destabilizing Iranian leadership and military capabilities, and is highly influential in Trump's assessment of the situation despite an increasingly strained personal relationship.

* For more on Iran, please see our EG UPDATE 27 July, 2026.

Republicans likely to hold senate despite improving outlook for Maine Democrats. The Maine Democratic Party's U.S. Senate Nominating Convention was held this past Saturday, with former logger Troy Jackson securing 566 of 601 possible votes.

- * Democrats are in a better position after pivoting from Graham Platner, and Jackson's strong majority will limit internal dissention—a positive that leaves Democrats as the marginal favorites in the State.

- * Jackson's two biggest hurdles moving forward will be his deficit compared to the generic Democratic baseline, and his inconsistent alignment with party leadership and national fundraising.

- * With competitive and expensive races in Texas, Ohio, New Hampshire, and Alaska, the national map still favors Republican control for the upper chamber in 2028, and we remain at our 60% odds for the GOP holding their majority.

Weakened Connected Vehicle Act will establish a baseline for future action. The Senate's bill, if passed, would codify Commerce's connected vehicle ICTS restrictions into statute, limiting future administration's ability to weaken or waive those requirements through executive action.

- * Technical carve-outs could materially narrow the bill's practical scope. Some automakers are advocating an exemption for Chinese-developed software embedded in US vehicles where the developer is employed by a US company. Battery provisions are also likely to be narrowed through changes to statutory definitions rather than removed outright. Together, these changes would significantly reduce the technologies affected by the legislation.

- * Chinese ownership thresholds remain a commercial pressure point for global automakers. Lobbying efforts are focused on raising the bill's Chinese ownership threshold from 15% to 25%, which would reduce divestment pressure for companies with significant Chinese shareholders - most notably Mercedes. This would preserve compliance through higher ownership thresholds rather than requiring immediate divestment. Notably, Ford's JV announced with Geely in Spain last week included 34% equity for Geely.

- * Industry pushback, coupled with ever reducing floor time on Capitol Hill, makes passage of the bill in its current form unlikely. However, an amended version with carveouts is likely to pass and will serve as a new baseline for future controls.

Quote of the Day

"Abolish the Senate?", "True."; "Abolish ICE?", "Absolutely."; "Abolish borders and give amnesty to anyone in the US illegally?", "Yep." – Democratic Socialists of America (DSA) Co-Chair Megan Romer in response to Shannon Bream on Fox News. While unclear if these positions have broad-based buy-in among DSA politicians, and among the Democratic party as a whole, Romer's statements have officially put DSA on the record regarding key midterm policy issues. Romer's statements will likely be employed by GOP candidates running against progressive challengers, seeking to tie Democratic candidates to DSA's more progressive agenda.

On the Radar

27 July – 28 August: House on recess

4 August: Michigan primary election

10 August – 11 September: Senate on recess

19 August: Section 338 tariffs on Canada go into effect

3 November: National midterm elections

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Trajectories are updated both periodically and as events warrant. Trajectories may be suspended from time to time if there is no active analyst opinion or analyst coverage, but the opinion or coverage is expected to resume. Trajectories can be:

Positive: Political factors in the country are anticipated to have a positive impact on the macro business environment

Neutral: Political factors in the country are anticipated to have a neutral or negligible impact on the macro business environment

Negative: Political factors in the country are anticipated to have a negative impact on the macro business environment

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